FINANCIAL PLAN

Financial Planning

- **Financial Planning is critical to the operation of a profitable business.**
- **Any new venture that is interested in financial success will**
- **Plan for Profit and Cost Control.**
- **The area of planning that is associated with financial matters is commonly called BUDGETING.**

Planning for Profit and Cost Control

- **A budget** is a statement of expected results or requirements expressed in financial or numerical terms.
- Budgeting is a process that involves co-ordinating the finances of all areas of the new venture.
- Financial co-ordination is the integration and synchronisation of the various financial activities of a business in order that all its functions can work towards its common objectives.

Planning for Profit and Cost Control

- The responsibility for the co-ordination of budgeting activities rests with the entrepreneur or entrepreneurial team.

- The entrepreneur or entrepreneurial team supervises the preparation of the master budget and is responsible for settling disputes among various departments over budget matters.

Planning for Profit and Cost Control

- The entrepreneur or entrepreneurial team also receives reports on how various segments are progressing toward the attainment of their budget standards.

The Financial Planning Process

- The nature of financial planning changes according to the length of the time period being considered.

- **Generally, the shorter the time period, the more specific the plans.**

The Financial Planning Process

- The three levels of financial planning for a new venture are called

- 1. Strategic planning (long range),
- 2. Capital budgeting (intermediate length)
- 3. Operations budgeting (short term).

Strategic Planning

- ***Strategic planning* involves making long term decisions such as**

- 1. defining the scope of the new venture,
- 2. determining which products to develop,
- 3. deciding which market niche should be profitable, etc.

Strategic Planning

- Upper level management is responsible for strategic planning.
- Strategic plans are stated in descriptive rather than quantified terms.
- Objectives such as
- 1. “to be the largest firm” or
- 2. to be the best quality producer” result from strategic planning.

Capital Budgeting

- **Capital budgeting deals with intermediate range planning.**

- **It involves making decisions such as whether to**
- **1. buy or**
- **2. lease equipment, etc.**

Operating Budget

- The ***operating budget*** involves the establishment of a ***master budget*** **that will direct the new venture's activities over the short term**.

- The master budget states objectives in specific quantities and includes
- **sales targets**,
- **production objectives** and
- **financing plans**.

Master Budget

- **The master budget normally covers a one-year time span.**

- **The master budget is frequently subdivided into quarterly projections and often includes quarterly data subdivided by month.**

Master Budget

- Many companies use a technique known as **perpetual or continuous budgeting** that utilises a 12-month reporting period.

- **At the completion of the current month, a new month is added to the end of the budgeting period, resulting in a continuous 12-month budget**.

Master Budget

The advantage of the perpetual budget is that

- **it keeps management involved in the budget process.**

Advantages of Budgeting

- Budgeting is a costly, time-consuming activity; however, the sacrifices are more than offset by the benefits.

Budgeting encourages

- **1. planning,**
- **2. co-ordination,**
- **3. performance measurement, and**
- **4. corrective action**

THE MASTER BUDGET

- The **master budget** consists of a series of detailed schedules and budgets that describe the new venture's overall financial plans for the coming accounting period.

THE MASTER BUDGET

- The three major budget categories are:

- **1. Operating budgets**
- **2. Capital budgets**
- **3. Financial statement budgets**

Master Budget

- **The budgeting process normally begins with the preparation of the operating budgets.**

- An ***operating budget*** is prepared by individual sections (**marketing**, **production**, **purchasing**, **finance**, etc) within the new venture and becomes part of the venture's master budget.

Operating Budgets

- **The number of operating budgets depends on the nature of the business entity.**
- **For example, budgeting for the inventory needs of a manufacturing entity requires the preparation of a raw materials budget, a labour budget, and an overhead budget.**
- **In contrast, a retail venture needs only an inventory purchases budget.**

Operating Budgets

- A new venture uses four operating budgets:

- 1. sales budget,
- 2. an inventory purchases budget,
- 3. a selling and administrative (S&A) expense budget and
- 4. a cash budget.

Operating Budgets

The sales, inventory, and selling and administrative expense budgets

- **contain schedules that identify the cash consequences associated with the various business activities.**

- **For example, a sales budget includes a schedule of cash receipts from customers.**

Operating Budgets

- **Similarly, the inventory and Selling and Administrative budgets contain schedules of cash payments associated with acquiring inventory and paying expenses.**

- **Preparation of the master budget begins with the sales forecast.**

Operating Budgets

- **The detailed budgets for inventory purchases and operating expenses are developed on the basis of projected sales.**

- **The information in the schedules of cash receipts and payments is used in the preparation of the cash budget.**

Capital Budget

- **The *capital budget* describes the new venture's long term plans regarding investments in facilities, equipment, new products, store outlets, and lines of business.**

- **The information from the capital budget is input to several operating budgets.**

Capital Budget

- **For example, acquisitions of equipment result in the recognition of depreciation expense on the Selling and Administrative (S & A) budget.**

- **Depreciation is the loss in value of a machine due to time and use.**

- **In addition, the cash flows associated with capital investment appear on the cash budget.**

Financial Statements Budgets

- **Information contained in the operating budgets is used to prepare the *financial statements budgets*.**

- **Again, the number of financial statement budgets, also called *pro forma statements*, depends on the nature and needs of the budget entity.**

Financial Statements Budgets

- **A new venture** prepares three **pro forma statements** including:

- **an income statement,**
- **a balance sheet, and**
- **a statement of cash flows**.

Information Flows in a Master Budget

- **Specific operating budgets provide data related to particular financial statements;**
- **for example, the sales, and S&A budgets contain information**
- **used to prepare the income statement and balance sheet.**

Information Flows in a Master Budget

- **The sales budget, for example, contains information regarding the amount of sales revenue shown in the income statement and accounts receivable balances on the balance sheet**.

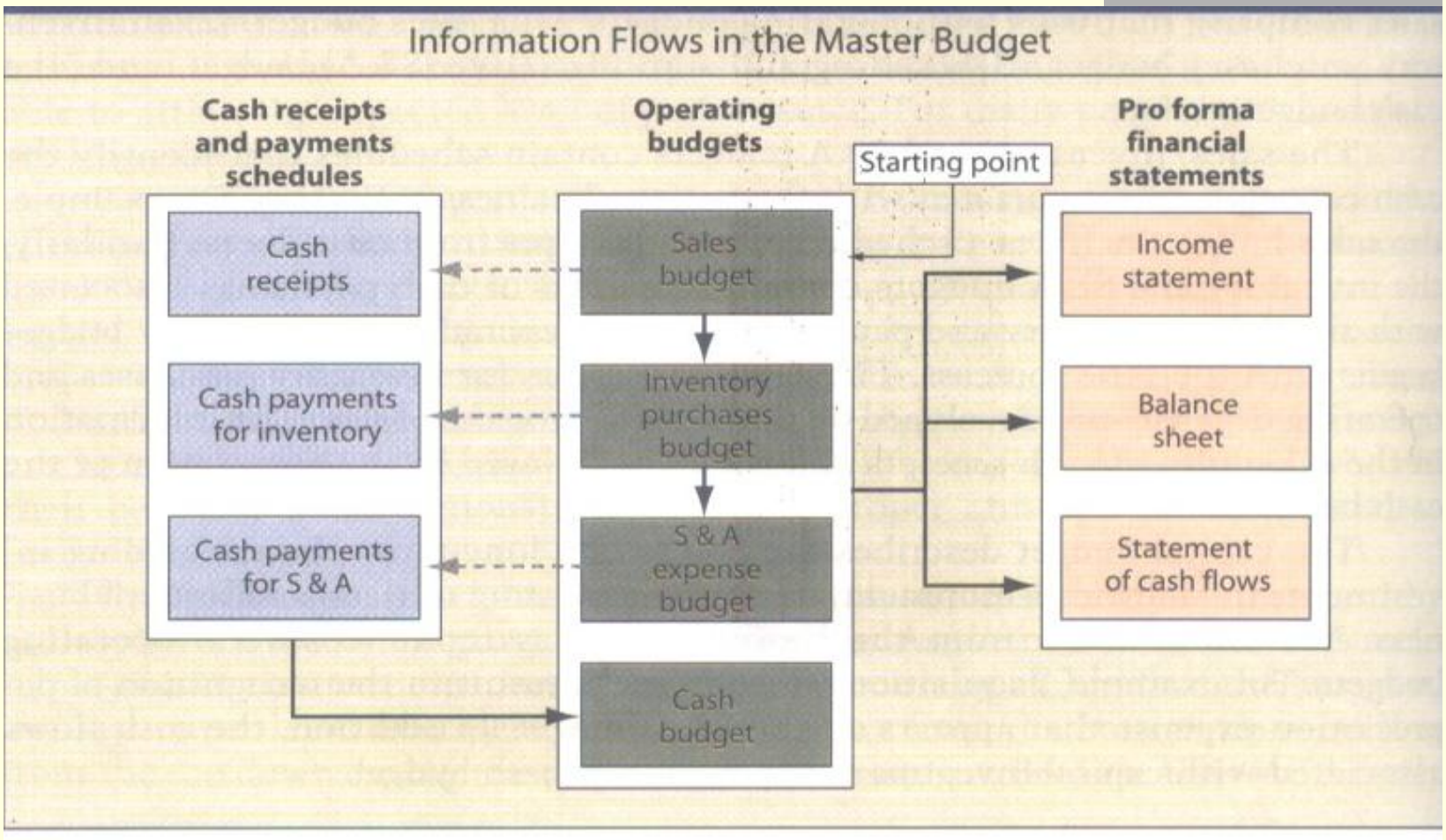
- **Similarly, the inventory and the S&A expense budgets contain expense and liability information that appears on the income statement and balance sheet.**

Information Flows in a Master Budget

- **The cash budget contains**

- **1. the amount of interest expense appearing on the income statement**
- **2. the ending cash balance and capital acquisitions that appear on the balance sheet and**
- **3. the bulk of information that is included in the statement of cash flows**

Exhibit 1: a graphic presentation of the information flows in a master budget



The Juicy Chicken Company budgeting Illustration

- The **Juicy Chicken Company Ltd**, a new venture in sales retail is used to demonstrate the preparation of the master budget. The venture uses four operating budgets:

- **1. a sales budget,**
- **2. an inventory purchases budget,**
- **3. a S & A budget, and**
- **4. a cash budget.**

Sales Budget

- **The preparation of the master budget begins with the *sales forecast*.**
- **Why? The accuracy of the sales forecast is critical because it acts as the source data for all other budgets.**
- **If the sales figures are unreliable, the entire budgeting process is a waste of time.**
- **Thus, it is easy to understand why every available effort should be made to obtain estimates of projected sales.**

Sales Budget

- **Normally, the marketing department co-ordinates the effort to establish the sales forecast.**
- **Frequently, the information flows from the bottom up the higher management levels**.

Sales Budget

- **Sales personnel are asked to prepare estimates**
- **of sales projections for the designated products and geographic locations, and**
- **then to pass these estimates up the line**
- **where they are combined with the estimates of other sales personnel to form the regional and national estimates.**

Sales Budget

- **Using a variety of information sources, upper level sales managers make appropriate adjustments to the estimates generated by the sales persons.**

- **Some of the more common inputs to the adjustment process include information gathered from industry periodicals and trade journals, analysis of economic conditions, marketing surveys, historical sales figures, and assessments of changes in competitive forces.**

Sales Budget

- **The information may be assimilated through**
- **a system of computer programmes,**
- **statistical techniques, and**
- **quantitative methods, or**
- **it may be subjected to the professional judgement of the upper level sales managers.**

Sales Budget

- **To initiate the budgeting process for Juicy Chicken Company's new venture, the sales manager reviews the sales history of stores operating in locations similar to the proposed site**.

- He then makes adjustments for **start up** conditions.

Sales Budget

- **October is considered as an opportune time to start a new store because customers would have time to become familiar with the store's location during October before the holiday season.**

- **He expects significant sales growth in November and December and envisions the company's chicken as the centrepiece of many Christmas dinner tables.**

Sales Budget

- **Specifically, he expects the new (venture's) store's sales to start in October, 201X at *$160,000*.**
- **Cash versus credit sales (i.e. *sales on account*) are projected at *$40,000* and *$120,000*, respectively, and**
- **sales are expected to increase *20 percent per month* during November and December.**
- **Based on these estimates, the sales manager prepares the sales budget (See Exhibit 2).**

Exhibit 2: Juicy Chicken Company
Sales Budget and Schedule of Cash Receipts
For the Quarter Ended December 31, 201X

Budget Line		October	November	December	Pro Forma Statement Data
Panel 1: Sales Budget					
1	Budgeted cash sales	$ 40,000	$ 48,000	$ 57,600	
2	Budgeted sales on account	120,000 →	144,000 →	172,800 →	$172,800*
3	Total budgeted sales	$160,000	$192,000	$230,400	$582,400†
Panel 2: Schedule of Cash Receipts					
4	Current month's cash sales	$ 40,000	$ 48,000	$ 57,600	
5	Accounts receivable from previous month's credit sales	0	→ 120,000	→ 144,000	
6	Total budgeted collections	$ 40,000	$168,000	$201,600	

Sales Budget

- **The → $172,800 on the** Sales Budget
- **represents the ending accounts receivable balance appearing on the balance sheet.**

Sales Budget

- **Notice that the sales budget is subdivided into two panels, the first of which describes the projected sales for each month.**
- **The sales forecast for November is computed by adding a 20 percent increase to the amount of October sales.**
- **For example, *cash sales* for November are calculated as $48,000 ($40,000 + [$40,000 x 0.20]) and for December as $57,600 ($48,000+ [$48,000 x 0.20]).**
- ***Sales on account* are computed using the same mathematical procedures.**

Sales Budget: *Schedule of Cash Receipts*

- **Panel 2 in Exhibit 2 contains a schedule of the cash receipts associated with the expected sales.**
- **This information is used to prepare the cash budget (Exhibit 5).**
- **The accountant prepares the schedule under the assumption that accounts receivable from credit sales are collected *in full* in the month following sale.**

Sales Budget: ***Total cash receipts***

- ***Total cash receipts*** are determined by adding the ***accounts receivable*** balance from the previous month's ***credit sales*** to the current month's ***cash sales***.

- **Because the venture will begin in October, no accounts receivable balance from September (i.e. the previous month's credit sales) is available**.

Sales Budget: *Total cash receipts*

- **Accordingly cash receipts for October equal the amount of October's *cash sales*.**
- **November collections equal November's *cash sales* plus the *accounts receivable balance* generated from October's *credit sales* ($48,000 + $120,000 = 168,000).**
- **December's receipts equal December's cash sales and the accounts receivable balance generated from November's credit sales ($57,600 + $144,000 = $201,600).**

Pro Forma Financial Statement Data

- **The column Pro Forma Statement Data contains two items that will appear on the end of quarter (i.e. December 31) budgeted financial statements.**
- **The first item ($172,800) represents the amount of the ending accounts receivable balance on the pro forma balance sheet (Exhibit 7).**
- **Since December's credit sales will be collected in January, the receivables account will have a $172,800 balance as of December 31, 2010.**

Pro Forma Financial Statement Data

- **The second item in the Pro Forma Statement Data column ($582,400) is the amount of sales revenue reported on the company's budgeted income statement.**
- **This amount is determined by summing the amounts of the monthly sales.**
- **In other words, sales for the quarter equal the total sales for each month of the quarter ($160,000 + $192,000 + $230,400 = $582,400).**

Inventory Purchases Budget

- After the amount of projected sales has been established, Juicy Chicken Company's accountant focuses on the amount of inventory that will be needed to satisfy the sales demand.

- Meeting the sales demand requires having enough inventory to cover expected sales and future sales between re-order points.

Inventory Purchases Budget

- **Accordingly, the total amount of *inventory needed* for each month equals the amount of budgeted sales plus the desired *ending inventory*.**

- **The total amount of inventory needed can be obtained from two sources.**

Inventory Purchases Budget

- **First, the company can use existing stock. In other words, customer demand can be satisfied with goods that are in *beginning inventory***.
- **The difference between the cost of goods needed and the beginning inventory is the amount of goods to be purchased**.
- **Accordingly, the purchases budget follows a logical format that is summarised as follows:**

Inventory Purchases Budget

Cost of budgeted sales	**XXX**
Plus: Desired ending inventory	**XXX**
= Inventory needed	**XXX**
Less: Beginning inventory	**(XXX)**
Amount to purchase	**XXX**

Inventory Purchases Budget

- **Juicy Chicken Company's *cost of budgeted sales* equals 70 percent of total budgeted sales (see Line 3 in Exhibit 2).**

- **In addition, Juicy Chicken has the policy of maintaining an ending inventory that equals 20 percent of the current month's *cost of budgeted sales*.**

Inventory Purchases Budget

- Based on this information and the data contained in the sales budget, the accountant prepares the purchases budget shown in Panel 1 of Exhibit 3.

- The ***budgeted cost of sales*** for October is determined by multiplying October's budgeted sales times 70 percent ($160,000 x 0.70 = $112,000).

Inventory Purchases Budget

- **Budgeted cost of sales for November and December are computed in a similar fashion.**
- **The *desired ending inventory* for October is computed by multiplying October's budgeted cost of goods sold times ($112,000 x 0.20 = $22,400).**
- **Desired ending inventory for November and December is computed in a similar way.**

Exhibit 3: Juicy Chicken Company
Inventory Purchases Budget & Schedule of Cash Payments
For the Quarter Ended December 31, 201X

Budget Line		October	November	December		Pro Forma Statement Data
Panel 1: Purchases Budget						
1	Budgeted cost of goods sold	$112,000	$134,400	$161,280		407,680*
2	Plus: Desired end inventory (line 1 × 0.20)	22,400	26,880	32,256	→	32,256†
3	Inventory needed	$134,400	161,280	$193,536		
4	Less: Beginning inventory	0	(22,400)	(26,880)		
5	Total required purchases	$134,400	$138,880	$166,656	20% →	33,331‡
Panel 2: Schedule of Cash Payments for Inventory Purchases						
6	Current purchases at 80%	$107,520	$111,104	$133,325		
7	Prior month's purchases at 20%	0	26,880	27,776		
8	Total budgeted payments for inventory	$107,520	$137,984	$161,101		

Schedule of Cash Payments for Inventory Purchases

- **Panel 2 of Exhibit 3 contains the cash payments budget.**
- **All merchandise is purchased on account.**
- **Because the chicken is perishable, the supplier demands that a significant portion of the accounts payable be settled within the month of purchase.**
- **Specifically, 80 percent of the current payables balance must be paid in the month goods are purchased.**

Schedule of Cash Payments for Inventory Purchases

- **The remaining 20 percent is paid during the following month.**
- **Because the venture (store) opens in October, no September balance exists.**
- **Accordingly cash payments for October are 80 percent of October's required purchases ([$134,880 x 0.80 = $107,520].**

Schedule of Cash Payments for Inventory Purchases

- **Cash payments for November amount to 80 percent of November purchases plus 20 percent of October purchases**
- **([$138,880 x 0.80 = $111,104] + [$134,400x 0.20 =$26,880] = $137,984).**

- Similarly ***cash payments*** for December amount to 80 percent of December purchases plus 20 percent of November purchases
- ([$166,656x0.80 = 133,325] + [$138,880x0.20 = $27,776] = $161,101).

Pro Forma Financial Statement Data

- The purchases budget contains three items that are relevant to the preparation of the pro forma financial statements.

- First, the amount of cost of goods sold (see Exhibit 3, Budget Line 1) will be shown on the budgeted income statements.

Pro Forma Financial Statement Data

- The amount of the ***cost of goods sold*** for the quarter equals the total of the monthly amounts
- **($112,000 + $134,400 + $161,280).**
- The ***ending inventory*** balance for December 31 also represents the ending inventory balance for the quarter.

Pro Forma Financial Statement Data

- Accordingly, the $32,256 ending inventory balance is shown in the pro forma balance sheet.
- Finally, the assumed payments schedule results in a year end balance in the ***accounts payable account***.
- **Because 20 percent of December credit purchases will be collected in January, the payables account will have a balance of $33,331 (from Line 5, December column, $166,656 x 0.20 = $33,331) as of December 31, 201X.**

Selling and Administrative Expense Budget

- **The selling and administrative (S&A) expense budget for Juicy Chicken Company's new venture is shown in Exhibit 4.**

- **It is assumed that the opening of the new store will require a significant investment in store fixtures including refrigeration equipment.**

Selling and Administrative Expense Budget

- **Total investment in fixtures, which are expected to have an average useful life of 10 years and a salvage value of $10,000 is expected to be $130,000**.

- **Depreciation is determined on a straight line basis, resulting in an annual charge of $12,000 ([$130,000 - $10,000] / 10).**

- **Monthly depreciation expense is $1,000 ($12,000 annual charge 12 months).**

Selling and Administrative Expense Budget

- **Notice that the Juicy Chicken Company's S&A expense budget does not contain a provision for interest expense**;

- **the amount of interest expense cannot be determined until the amount of expected borrowing has been established through the preparation of the cash budget**.

Exhibit 4: Juicy Chicken Company
S&A Expense Budget and Schedule of Payments
For the Quarter Ended December 31, 201X

Budget Line		October	November	December	Pro Forma Statement Data
Panel 1: Selling and Administrative Expense Budget					
1	Salary expense	$24,000	$24,000	$24,000	
2	Sales commissions (2 percent of sales)	3,200	3,840	4,608	$ 4,608*
3	Supplies expense (1 percent of sales)	1,600	1,920	2,304	
4	Utilities	1,400	1,400	1,400	1,400†
5	Depreciation on store equipment	1,000	1,000	1,000	3,000‡
6	Rent	3,600	3,600	3,600	
7	Miscellaneous	900	900	900	
8	Total S&A expenses before interest	$35,700	$36,660	$37,812	$110,172§
Panel 2: Schedule of Cash Payments for Selling and Administrative Expenses					
9	Salary expense paid monthly as incurred	$24,000	$24,000	$24,000	
10	Prior month's sales commissions, 100 percent	0	3,200	3,840	
11	Supplies expense paid monthly as incurred	1,600	1,920	2,304	
12	Prior month's utilities, 100 percent	0	1,400	1,400	
13	Rent paid monthly as incurred	3,600	3,600	3,600	
14	Miscellaneous paid monthly as incurred	900	900	900	
15	Total cash payments for S&A expenses	$30,100	$35,020	$36,044	

Schedule of Cash Payments for Selling and Administrative Expenses

- **Panel 2 of Exhibit 4 contains the schedule of cash payments associated with S & A expenses.**
- **Differences between expense recognition and cash flow result from several conditions.**
- **First, cash payments for sales commissions and utilities are expected to be paid in the month following their occurrence.**

Pro Forma Financial Statement Data

- **The assumed schedule results in a year end balance in the *sales commissions and utilities payable accounts*.**

- **Because December's payments for commissions and utilities will be paid in January, the commissions and utilities payable accounts will have balances of $4,608 and $1,400, respectively, as of December 31.**
- (see Pro Forma Statement Data column amounts for Budget Lines 2 and 4, Exhibit 4).

Pro Forma Financial Statement Data

- **The items will appear on the pro forma balance sheet.**
- **The total amount of S & A expenses before interest is determined by summing the monthly amounts of**
- **($35,700 +$36,660 + $37,812 = $110,172).**

Pro Forma Financial Statement Data

- **This amount appears on Budget Line 8 under the Pro Forma Statement column.**
- **The S & A expense is shown on the pro forma income statement**

Cash Budget

- **The effective management of cash is important to the success of a new venture.**
- **If excess cash is permitted to accumulate, the business will lose the opportunity**
- **to earn investment income or**
- **to repay debt, thereby reducing interest costs.**
- **On the other hand, if cash shortages occur, the business will be unable to pay its debts and may be forced into bankruptcy.**

Cash Budget

- **A cash budget is prepared to advise management of anticipated cash shortages or excessive cash balances.**
- **Management uses this information to plan its financing activities.**
- **Management makes arrangements with creditors to ensure that anticipated shortages can be covered by borrowing.**
- **Management also plans to repay past borrowings and to make appropriate investments in the periods in which excess amounts of cash are expected.**

Cash Budget

- **The cash budget is composed of three major components including**

- **1. A cash receipts section,**
- **2. A cash payments section, and**
- **3. A financing section.**

Cash Budget

- **Most of the raw data needed to prepare the cash budget are included in the cash receipts and payments schedules (see Exhibits 2, 3, 4).**
- **Further refinements of these data are sometimes necessary.**
- **The complete cash budget is shown in Exhibit 5**.

Exhibit 5: Juicy Chicken Company
Cash Budget
For the Quarter Ended December 31, 201X

Budget Line		October	November	December	Pro Forma Statement Data
Cash Receipts					
1	Beginning cash balance	$ 0	$ 7,624	$ 7,550	
2	Add cash receipts (Exhibit 7–2)	40,000	168,000	201,600	$409,600*
3	Total cash available	40,000	175,624	209,150	
Less: Cash Payments					
4	For inventory purchases (Exhibit 7–3)	107,520	137,984	161,101	406,605†
5	For S&A expenses (Exhibit 7–4)	30,100	35,020	36,044	101,164‡
6	To purchase store fixtures	130,000	0	0	130,000§
7	Total cash payments	267,620	173,004	197,145	
Cash Needs					
8	Shortage (surplus) of cash: (Line 7 − Line 3)	227,620	(2,620)	(12,005)	
9	Plus desired cash cushion	10,000	10,000	10,000	
Financing Activity					
10	Amount borrowed (repaid)	237,620	7,380	(2,005)	242,995‡‡
11	Interest expense at 1 percent per month	(2,376)	(2,450)	(2,430)	7,256**
12	Ending cash balance (Line 3 − 7 + 10 + 11)	$ 7,624	$ 7,550	$ 7,570 →	$ 7,570††

Cash Receipts Section

- **The cash receipts for Juicy Chicken Company is shown in the schedule of cash receipts (Budget Line 6 in Panel 2, Exhibit 2).**
- **The amounts in this schedule are transferred to Budget Line 2 of the cash budget (Exhibit 5).**
- **The expected cash receipts are added to the beginning cash balance to determine the amount of cash available for use (Budget Line 3 in Exhibit 5).**

Cash Payments Section

- **Cash payments include expected cash outflows for inventory purchases, S & A expenses, and investments.**
- **The cash payments for inventory purchases are shown in the *schedule of cash payments for inventory purchases* (Budget Line 8 in Panel 2 of Exhibit 3).**
- **The amounts in the inventory payments schedule have been transferred to Budget Line 4 of the cash budget (Exhibit 5).**

Cash Payments Section

- **The cash payments for S & A expenses shown in the schedule of cash payments for S & A expenses (Budget Line 15 in Panel 2 of Exhibit 4).**
- **The amounts in the receipts schedule are transferred to Budget Line 5 of the cash budget (Exhibit 5).**
- **Recall that the Juicy Chicken Company is to spend $130,000 on fixtures to equip the new store.**
- **This amount is shown on Budget Line 6 on the cash budget (Exhibit 5) and the total expected cash payments is displayed on Budget line 7.**

Financing Section

- **In October, Juicy Chicken Company expects to have a cash deficit of $227,620 (Budget Line 8, October column, Exhibit 5).**
- **Accordingly, Juicy Chicken will need to borrow money to finance the establishment and operation of the new store.**
- **If the company were to borrow only $227,620, it would have an insufficient amount of funds available to pay interest and to maintain a reasonable minimum ending cash balance.**

Financing Section

- **For this reason, Juicy Company decides to borrow a *cash cushion* amounting to $10,000 more than the amount of the expected cash shortage.**

- **This amount is shown on Budget Line 9 of Exhibit 5. The total amount borrowed is $237,620 ($227,620 cash shortage + $10,000 cash cushion), shown on Budget Line 10.**

Financing Section

- **The interest rate on the line of credit is assumed to be 1 percent per month.**

- **Accordingly, interest expense (Budget Line 11, Exhibit 5) for October is $2,376 ($237,620 amount borrowed x 0.01).**

Financing Section

- **The ending cash balance is determined by adding the cash available (Budget Line 3) plus the funds borrowed (Budget Line 10) minus total cash payments for S & A expense (Budget Line 7 minus cash paid for interest expense (Budget Line 11).**

- **The result appears on Budget Line 12. The ending cash balance becomes the beginning cash balance for the following month.**

Financing Section

- **The computation for the amount borrowed in November begins with the cash surplus of $2,620 (Budget line 8).**

- **This surplus is insufficient to maintain the $10,000 desired cash cushion.**

Financing Section

- **Accordingly, Juicy Chicken Company must borrow an additional $7,380 ($10,000 - $2,620).**

- **Interest expense is calculated as 1 percent of the outstanding debt ([$237,620 October borrowings + $7,380 November borrowings] x 0.01 = $2,450).**

Financing Section

- **In December, the company produces enough surplus cash to make a partial repayment of the principal balance.**

- **The amount available for repayment is $2,005 ($12,005 – 10,000 cash cushion).**
- **The interest expense for December is $2,430 ([$237,620 + $7,380 -$2,005] x 0.01).**

Pro Forma Financial Statement Data

- **The pro forma statement of cash flows is shown in Exhibit 8.**
- **The total of the cash receipts and the totals of the cash payments for inventory and S & A expenses are shown in the Cash Flow from Operating Activities section of the pro forma statement of cash flows.**
- **The totals of the cash receipts and payments are determined by summing the monthly amounts.**

Pro Forma Financial Statement Data

- **For example, the total cash receipts ($409,600) shown on the cash budget (Exhibit 5, Budget Line 2) is computed by adding the amounts for October, November, and December.**

- **Totals for the cash payment items on Budget Lines 4 and 5 are computed in a similar fashion**.

Pro Forma Financial Statement Data

- **The $130,000 purchase price of the store fixtures appears in the Cash Flow from Investing Activities section of the *statement of cash flows* and in the Assets section of the *pro forma balance sheet*.**

Pro Forma Financial Statement Data

- The amount borrowed ($242,995, Budget Line 10, Exhibit 5) is determined by adding the borrowings in October and November minus the repayment made in December ($237,620 + $7,380 - $2,005 = $242,995) and is shown in the Cash Flow from Financing Activities section of the pro forma statement of cash flows (Exhibit 8) and in the Liabilities section of the pro forma balance sheet (Exhibit 7).

Pro Forma Financial Statement Data

- **The total amount of interest expense shown in Exhibit 6 is also determined by summing the monthly amounts on Line 11 of Exhibit 5 ($2,376 + $2,450 + $2,430 = $7,256).**

- **Because the interest is paid in cash, the interest expense is shown in the Cash Flow from Operating Activities section of the pro forma statement of cash flows (Exhibit 8) and on the pro forma income statement (Exhibit 6).**

Pro Forma Financial Statement Data

- **Finally, the ending cash balance ($7,570) for December also constitutes the ending balance for the quarter.**

- **This amount is shown on the pro forma balance sheet and as the last item on the pro forma statement of cash flows.**

Pro Forma Income Statement

- **The budgeted income statement for Juicy Chicken Company is shown in Exhibit 6.**
- **The information needed to prepare this statement is contained in Exhibits 1, 2, 3 and 4.**
- **The budgeted income statement provides insight into the new venture's expected profitability.**

Exhibit 6: Juicy Chicken Company
Pro Forma Income Statement
For the Quarter Ended December 31, 201X

		Data Source
Sales Revenue	**$582,400**	**Exhibit 2**
Cost of Goods Sold	**(407,680)**	**Exhibit 3**
Gross Margin	**174,720**	
S & A Expenses	**(110,172)**	**Exhibit 4**
Operating Income	**64,548**	
Interest Expense	**(7,256)**	**Exhibit 5**
Net Income	**$57,292**	

Pro Forma Income Statement

- **If expected profitability is unsatisfactory, the entrepreneur or the entrepreneurial team may decide to abandon the project or to alter planned activity.**

Pro Forma Balance Sheet

- **The new store venture has no contributed capital because its operations are fully financed through debt and retained earnings.**

Pro Forma Balance Sheet p 10

- See Notes

Pro Forma Statement of Cash Flows

- **The pro forma statement of cash flows is shown in Exhibit 8.**
- **All the information used to prepare this statement was drawn from the cash budget shown in Exhibit 5.**

Pro Forma Statement of Cash Flows p11

- See Notes